Please check the examination details below before entering your candidate information			
Candidate surname		**Other names**	
Centre Number		**Candidate Number**	

Pearson Edexcel Level 3 GCE	**Paper reference**	**9EB0/03**
Predicted June 2026 **Morning (Time: 2 hours)**		

Economics B

Advanced

PAPER 3: The economic environment and business

You must have: Insert (enclosed)	**Total Marks**	

PREDICTED PRACTICE PAPER — HARD

Pre-release context for this paper: globalisation, emerging markets and macroeconomic policy

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided — *there may be more space than you need*.

Information

- The total mark for this paper is **100**.
- The marks for **each** question are shown in brackets — *use this as a guide as to how much time to spend on each question*.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A to D) before answering the question.

Write your answers in the spaces provided.

Extract A

Brazil's agricultural export economy

Brazil is the world's largest exporter of soybeans, coffee, sugar and beef. Agriculture and agribusiness together account for around 25% of Brazilian GDP and close to half of total merchandise exports by value. The country benefits from large areas of fertile land in the Cerrado and Amazon regions and a modern, highly mechanised large-farm sector.

Expansion of the agricultural frontier has been associated with deforestation, particularly in the Amazon. Between 2019 and 2022, Brazil lost an average of 11,500 km² of primary forest per year. Following a change of federal government in January 2023, deforestation rates declined by approximately 50% in 2023 as enforcement was stepped up.

(Source: adapted from FAO and Brazilian government statistics, 2024)

Extract B

The real and commodity prices

The Brazilian real (BRL) has experienced significant volatility against the US dollar. Having traded at close to BRL 4.00 per USD in 2019, the real depreciated to over BRL 5.70 in late 2021, before partially recovering. It stood at approximately BRL 5.80 per USD in late 2024 as investors reacted to widening fiscal deficits and ongoing political uncertainty.

Brazilian exporters invoice the great majority of commodity shipments in US dollars, while the bulk of their costs (labour, local inputs, land taxes, domestic transport) are denominated in reais.

(Source: adapted from Bloomberg and Banco Central do Brasil, 2024)

Extract C

Monetary policy and capital flows

Brazil's central bank (Banco Central do Brasil, BCB) raised the Selic policy rate from 2.00% in March 2021 to 13.75% by August 2022 to combat rising inflation, then cut gradually to 10.50% by mid-2024.

Brazilian inflation (IPCA) fell from a peak of 12.1% in April 2022 to 4.5% by mid-2024 but has since shown signs of picking up again, driven by food prices and services. BCB's target is 3.0% with a ±1.5 percentage point tolerance band.

(Source: adapted from Banco Central do Brasil, 2024)

Extract D

US–China trade tensions and Brazilian exports

Since 2018, US tariffs on Chinese goods and Chinese retaliatory tariffs on US agricultural commodities have reshaped global trade flows. China redirected much of its soybean demand away from US suppliers and towards Brazil, pushing Brazil's share of Chinese soybean imports from 46% in 2017 to over 75% by 2023.

The benefit to Brazil is not unambiguous. Over-reliance on a single buyer (China accounts for roughly one-third of Brazilian merchandise exports) creates concentration risk. Periods of US–China rapprochement have seen China pivot partially back to US suppliers, squeezing Brazilian margins.

(Source: adapted from WTO and USDA trade data)

Indicator	2019	2021	2023	2024
Real GDP growth (%)	1.2	5.0	2.9	2.4
CPI inflation, avg (%)	3.7	8.3	4.6	4.8
Selic policy rate, year-end (%)	4.50	9.25	11.75	10.75
Unemployment rate (%)	11.9	13.2	7.8	6.9
Current account (% of GDP)	–3.5	–1.7	–1.3	–1.7
BRL per USD, year-end	4.03	5.58	4.86	5.82

Figure 1: Brazil — selected macroeconomic indicators

Product	2019	2021	2023
Soybeans (whole + meal)	31.2	40.3	58.9
Iron ore and concentrates	22.7	44.6	27.8
Crude oil	24.2	30.6	42.8
Beef and poultry	14.6	17.1	18.2
Coffee	4.6	6.2	8.1
Sugar	6.4	9.2	13.7

Figure 2: Brazil merchandise exports by major product (US$ bn)

1 (a) With reference to Extract A and using a PPF diagram, analyse the opportunity cost associated with expanding Brazil's agricultural output.

(8)

(b) With reference to Extract B and Figure 1, discuss the likely impact of the depreciation of the Brazilian real on Brazil's current account.

(10)

(c) Discuss the effectiveness of monetary policy as a tool for controlling inflation in an emerging economy such as Brazil, using evidence from Extract C and Figure 1.

(12)

(d) With reference to Extract D and Figure 2, evaluate the extent to which the escalation of US–China trade tensions since 2018 has been a net benefit to the Brazilian economy.

(20)

(Total for Question 1 = 50 marks)

TOTAL FOR SECTION A = 50 MARKS

Answer ALL questions.

SECTION B

Read the following extracts (E to H) before answering the question.

Write your answers in the spaces provided.

Extract E

Shopee — company background

Shopee, the flagship e-commerce platform of Singapore-based SEA Limited, launched in 2015 and has grown to become the largest e-commerce marketplace in Southeast Asia by gross merchandise value (GMV). Shopee operates in Indonesia, Vietnam, Thailand, the Philippines, Malaysia, Singapore and Taiwan.

Shopee's business model is a two-sided platform: it matches buyers with third-party sellers, monetising via transaction fees, commissions, paid advertising and its own logistics service (Shopee Xpress). Between 2019 and 2021 the company grew aggressively by subsidising shipping and promotional discounts, financed by profits of its gaming arm.

(Source: adapted from SEA Limited Annual Report 2023)

Extract F

Competition, logistics and regulation

Chinese-owned TikTok Shop entered Indonesia in 2022, gaining share quickly through short-form video commerce. Indonesian regulators briefly banned e-commerce functions on social media platforms in September 2023, citing predatory pricing. TikTok subsequently merged its Indonesian e-commerce operations with Tokopedia.

Logistics is a critical source of competitive advantage. Shopee built its own last-mile network, Shopee Xpress, partly in response to patchy third-party coverage across Southeast Asia's 25,000 inhabited islands. Free-shipping subsidies were cut in 2022–23 as investors demanded a path to profitability.

(Source: adapted from regional press reports, 2024)

Extract G

Macro context — Indonesia

Indonesia is Shopee's single largest market by GMV. The country has a population of 283 million with a median age of 29, real GDP growth of around 5% per year, and an internet penetration rate of 77%. The Indonesian rupiah (IDR) depreciated by around 9% against the US dollar during 2024.

In 2023, Indonesia introduced a minimum price of USD 100 for imported goods sold on cross-border e-commerce platforms, limiting direct shipping of low-value Chinese goods. The policy was intended to protect domestic MSMEs (micro, small and medium enterprises) which employ more than 60% of the Indonesian workforce.

(Source: adapted from Bank Indonesia and Kementerian Perdagangan, 2024)

Extract H

Shopee's move to profitability

In 2023 Shopee reported its first full year of positive adjusted EBITDA. Management raised commission rates paid by sellers (from 2% to over 6% on many categories), introduced additional paid advertising products, and redirected marketing spend from free shipping to more targeted loyalty rewards. In 2024 the firm launched 'Shopee Live' video-commerce to compete directly with TikTok Shop.

Critics note that raising fees risks alienating sellers — particularly smaller MSMEs with few alternative platforms. Supporters argue the platform's dominant position (estimated 40–50% GMV share in several markets) makes modest fee increases sustainable.

(Source: adapted from SEA Limited earnings call transcripts, 2024)

Metric	2020	2021	2022	2023
Shopee GMV	35.4	62.5	73.5	78.5
Group revenue	4.4	10.0	12.4	13.0
Marketing spend	1.2	2.8	2.1	1.4
Adjusted EBITDA — group	–1.3	–2.0	–0.9	+0.16
Active users (monthly, m)	280	380	440	520

Figure 3: SEA Limited / Shopee — selected data (US$ bn unless stated)

2 (a) Using Figure 3, calculate the compound annual growth rate (CAGR) of Shopee's GMV between 2020 and 2023. Discuss what the trend in group adjusted EBITDA over the same period suggests about the sustainability of Shopee's growth strategy.

(8)

(b) Assess the likely impact on Shopee of the intensification of competition from TikTok Shop described in Extract F.

(10)

(c) With reference to Extract G, discuss the likely effect of the depreciation of the Indonesian rupiah and the introduction of the USD 100 minimum price for cross-border e-commerce on Shopee's Indonesian business.

(12)

(d) Evaluate the extent to which Shopee's dominant position in Southeast Asian e-commerce benefits consumers, small sellers (MSMEs) and the wider economies in which it operates.

(20)

(Total for Question 2 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END OF PAPER

INSERT — Pre-release Context

Do not return this Booklet with the question paper.

Investigating the Economic Environment and Business

Context

This year the context is **globalisation, emerging markets and macroeconomic policy**. You should think about how globalisation affects firms and national economies — through trade, capital flows, exchange rates and monetary policy — with a particular focus on emerging-market contexts.

Research

To prepare for this year's context, you should research:

- how commodity exporters respond to changes in exchange rates and terms of trade
- how central banks in emerging economies use monetary policy to respond to inflation shocks
- the effect of trade tensions and tariffs on third-country exporters
- how multinational digital platforms expand across markets
- the trade-offs between free trade and protection of domestic small businesses.

You **cannot** take any of your research or investigation data carried out as part of the pre-release into the examination.